

Multiple Choice (10 marks)

1. If current real GDP is \$5000 and full employment real GDP is at \$4000 which of the following combinations of policies is the most likely to have brought the economy to this point?
 - (a) A decrease in taxes and buying bonds in an open market operation
 - (b) An increase in government spending and an increase in taxes
 - (c) An increase in taxes and selling bonds in an open market operation
 - (d) An increase in taxes and a lower discount rate
 - (e) A decrease in taxes and selling bonds in an open market operation
2. Which of the following is correct?
 - (a) In the long run, demand cannot adjust fully to changes in supply.
 - (b) In the long run, supply is not able to adjust fully to changes in demand.
 - (c) In the long run, all inputs are fixed.
 - (d) In the short run, supply is able to adjust fully to changes in demand.
 - (e) In the short run, demand is able to adjust fully to changes in supply.
3. Why is it difficult sometimes to define monopolistically competitive industries?
 - (a) Product differentiation and loss of perfect substitutability
 - (b) Barriers to entry and exit in the market
 - (c) High consumer loyalty to a single brand
 - (d) Lack of government regulation
 - (e) Constant production costs regardless of output levels
4. The appropriate fiscal policy to remedy inflation calls for
 - (a) decreased government spending and increased taxes.
 - (b) the federal government to decrease the money supply.
 - (c) the federal government to run a deficit.
 - (d) decreased taxes and increased government spending.
 - (e) the federal government to increase the money supply.
5. Scarcity is best defined as
 - (a) the opportunity cost of not pursuing a given course of action.
 - (b) the difference between unlimited wants and limited economic resources.

- (c) the difference between unlimited resources and unlimited economic wants.
- (d) the opportunity cost of pursuing a given course of action.
- (e) the difference between the total benefit of an action and the total cost of that action.

True / False (10 marks)

Answer True or False

- 6. True or False: A celebrity's income from endorsements is an example of transfer earnings because it is not earned by the celebrity.
- 7. True or False: A decrease in both government spending and taxes is likely to create the greatest increase in aggregate demand.
- 8. True or False: GDP is unaffected by the purchase of a second-hand painting, as it does not reflect a change in the quantity of goods and services produced.
- 9. True or False: The number of pages in a book can be adjusted in the long run, but not in the short run.
- 10. True or False: The primary objective of management in managerial economics is the maximization of profit.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the significance of the intercept term in a regression model and analyze the implications of a 95% confidence interval of $(-2.50, 2.50)$ for this term.
- 12. Analyze the tax burdens of Mr. Gribbon and Mr. Doyle based on their incomes and tax payments. Discuss whether this tax structure is progressive, proportional, or regressive, providing rationale for your conclusion.

End of Paper